

COMPOUNDING

Compounding is my absolute favorite thing when it comes to my finances, because it's essentially what allows my money to turn into more money, and my money's money to turn into even *more* money, and my money's money's money—okay, I'll stop. But you get where I'm going, right? There's a reason why compounding is referred to as “magical,” “powerful,” and “game-changing” when it comes to wealth building. And it's also why everyone who really understands the *magic* of compounding agrees. Compounding is amazing! Let me break it down.

HOW COMPOUND INTEREST WORKS

When it comes to investing, compounding helps your investments earn more money as the value of your investment goes up. Compounding can take effect in the following ways:

- **Through interest.** Compounding can amplify any interest earned on your investments based on a rate of return. The rate of return (RoR) is the average profit the investment achieves (or is expected to achieve) over a specified time period and is usually depicted as a percentage. This interest is added to your original investment, which in turn can continue to compound at a larger scale over time.
- **Through dividends.** This is a portion of earnings paid by companies to their shareholders based on stock performance. Your dividends can be reinvested on top of your original investment, which in turn will allow for an increased compounding rate.
- **Through capital gains.** These are any profits you earn when you sell an investment. These earnings can then be used toward another investment to take advantage of the power of compounding.

Let's look at a couple of examples showcasing how compounding works using interest.